

Multiple Choice (10 marks)

1. A draft for \$800, due in 3 months and bearing interest at $4\frac{1}{2}\%$, was discounted 60 days before it was due. If the discount rate was 5%, what were the proceeds?
 - (a) \$810.00
 - (b) \$807.50
 - (c) \$802.26
 - (d) \$800.00
 - (e) \$795.00
2. Find the cost of each order. (a) 346 glasses @ 50 ¢ each (b) 870 nails @ $3\frac{1}{2}$ ¢ each (c) 125 chains @ \$16.48 each.
 - (a) 150.00, 33.45, \$2,500.00
 - (b) 173.00, 35.00, \$2,100.00
 - (c) 150.00, 25.45, \$2,100.00
 - (d) 173.00, 30.45, \$2,500.00
 - (e) 200.00, 35.00, \$2,500.00
3. Many retail brands adopt a single umbrella brand, based on the name of the organization. This is referred to as:
 - (a) Corporate brands.
 - (b) Generic branding.
 - (c) Manufacturer brand.
 - (d) Family branding.
 - (e) Product line branding.
4. On April 17, Mr. Hicky received a three-month note for \$800 bearing interest at 4%. On May 17, his bank discounted the note at a 6% interest rate. Find his proceeds.
 - (a) \$790.92
 - (b) \$798
 - (c) \$810
 - (d) \$799.92
 - (e) \$785.92

5. This is where intermediaries are given exclusive rights to market the good or service within a defined 'territory', thus using a very limited number of intermediaries:
- (a) Selective.
 - (b) Exclusive.
 - (c) Concentrated.
 - (d) Comprehensive.
 - (e) Specific.

True / False (10 marks)

Answer True or False

6. True or False: The refund on an insurance policy with an annual premium of 37 canceled 33 days after purchase is 30% of the premium.
7. True or False: Cognitive attitudinal models, such as the Theory of Social Identity, explain consumer behavior while emphasizing group norms.
8. True or False: The financing charge for the 250 stove purchased under an installment plan is 30% of the cash price.
9. True or False: The optimal quantity for minimizing mimeographing costs is 1200 copies.
10. True or False: Creating advertising campaigns is a function that falls outside the scope of marketing according to the British Government.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Debra Cole is considering two financing options for a used car priced at \$720. Analyze both options to determine which is more economical, and explain the financial implications of each choice.
12. Discuss the concept of market penetration rate and analyze its significance in the adoption of innovations within a competitive business environment.

End of Paper